

Olevel economics

Market failure



By:-

Zarak Mushtaq



Private goods

Demerit goods

- ★ Harmful goods
- ★ e.g. drugs/alcohol
- ★ Social cost > Private cost
- ★ Existence of External cost or Negative Externalities
- ★ Lack of information or Knowledge
- ★ Over produced
- ★ Under charged
- ★ Over consumed
- ★ Over allocation
- ★ Market failure

Merit goods

- ★ Society deserves these goods
- ★ e.g. Education and Health care
- ★ Existence of external benefit or positive externalities
- ★ Lack of information or Knowledge about the true value of these goods
- ★ Under consumed
- ★ Under produced
- ★ Under allocation
- ★ Market failure

Diagrams for Demerit goods

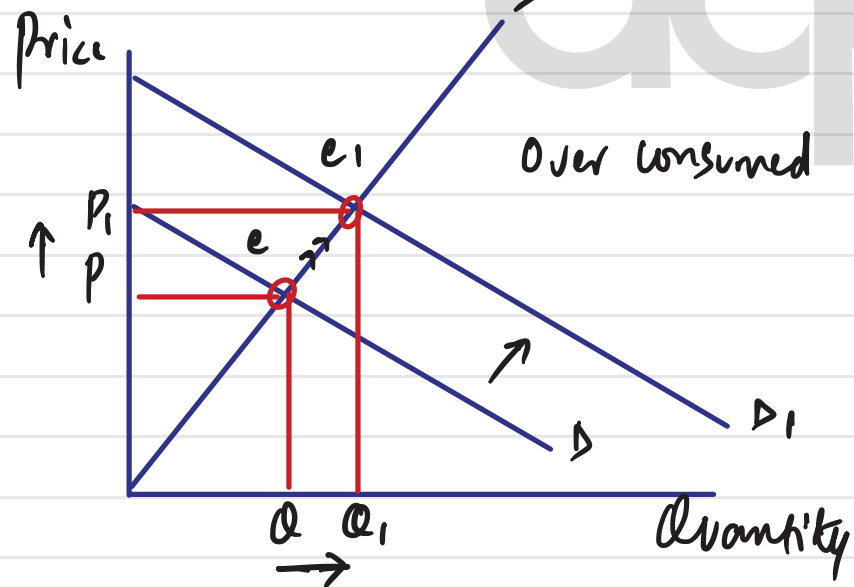
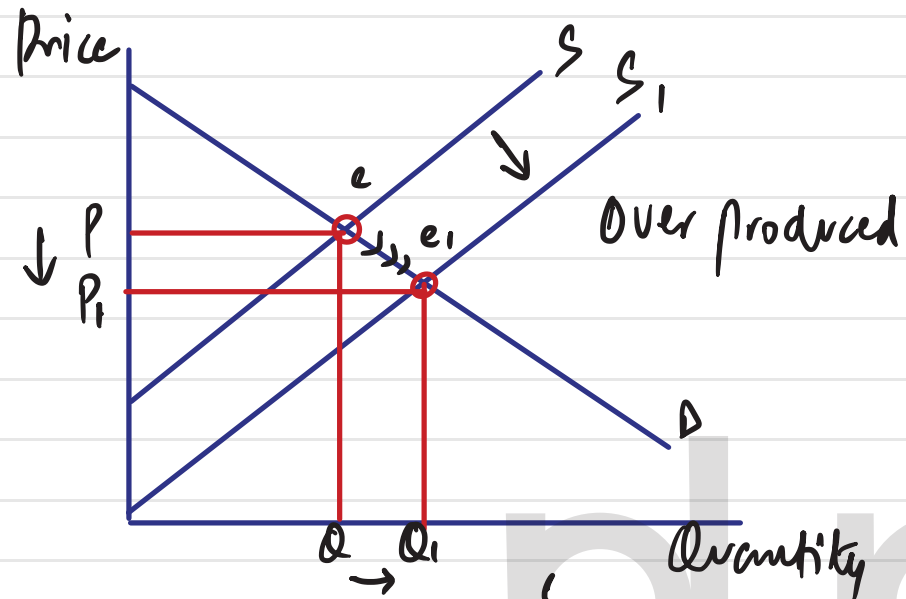
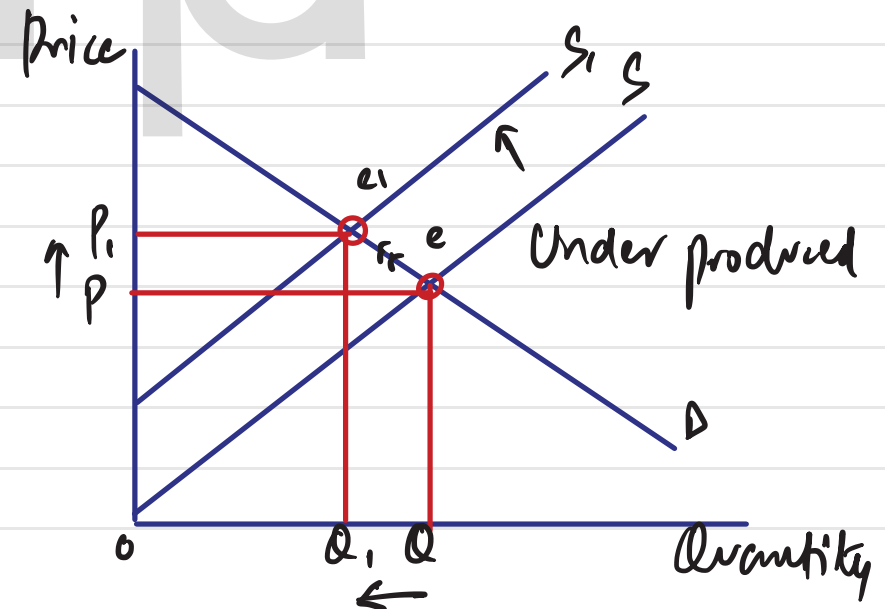
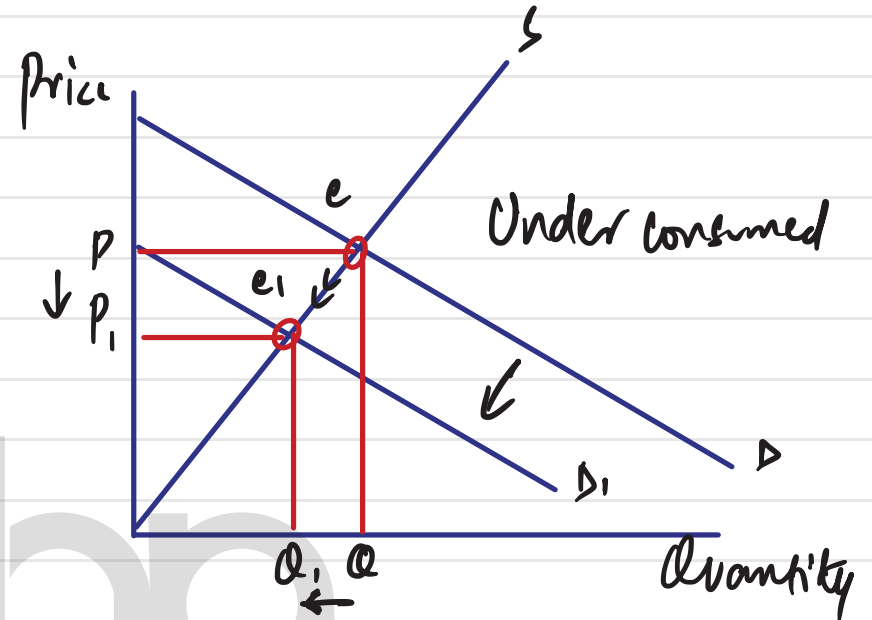


Diagram for merit goods

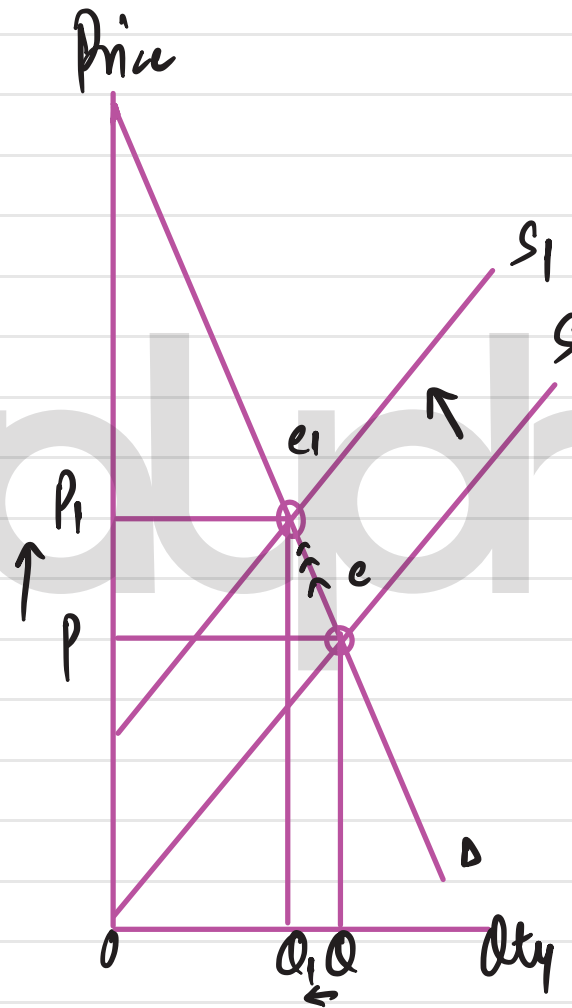


Demerit goods:- Goods where social cost exceeds private cost i.e. there will be existence of external cost. E.g. drugs etc. Due to existence of lack of information, these goods are always over produced but under charged, which leads to over consumption and thus causing over allocation of resources. This is why it is one of the reasons of market failure as from the society's perspective, external cost should be taken into consideration from production and consumption point of view.

Merit goods:- These are the goods where social benefit exceeds private benefit i.e. there will be existence of external benefits. These goods are provided both by private sector and public sector e.g. Education and health care. Consumers don't realise the true benefits of these goods i.e. due to lack of information, these goods are always under consumed thus restricting the external benefit that could have been received is not being received, because under consumption leads to under production resulting in under-allocation. This is why it is one of the reasons of market failure as the output produced is not from society's perspective because of ignoring external benefit.

Monopoly

- ✱ Firm with highest market share
- ✱ No close substitutes
- ✱ Inelastic demand
- ✱ Can restrict supply
- ✱ Can create shortage
- ✱ Raise prices
- ✱ Price $\uparrow$ QD $\downarrow$ TR $\uparrow$
- ✱ Abnormal profits
- ✱ e.g. De-beers



Monopoly :- A firm with highest market share, i.e. availability of no close substitute makes it inelastic demand. Being part of private sector, having the aim to maximize profit, a monopoly can always restrict its supply, create shortage, raise the price which will contract quantity demanded by smaller percentage causing total revenue to increase.

In monopoly producer's sovereignty is greater than consumer sovereignty!

If it started acting as efficient, sovereignty will be other way round.

✱ X-inefficiency

Factor immobility

One advantage of a market is that it provides a mechanism for the allocation of scarce resources from one use to another. However, this only applies to markets when it is relatively easy for factors of production to be moved from one geographical area to another, or from one occupation use to another. This may not always be the case, so another example of market failure is where factors are not easily moved from one area to another (geographical immobility) or from one use to another (occupational mobility).

Questions

Marks:- 28!

- Q1 Define Demerit goods and how it is a cause of a market failure? 8
- Q2 Define merit goods and how it is a cause of a market failure? 8
- Q3 Define monopoly and how it is a cause of a market failure? 8
- Q4 Explain the concept of factor immobility? 4